Clearly, therefore, demonetization failed in its second big goal – eradication of corruption. If anything, the new ₹2,000 notes made it simpler for corrupt officials to take and stash away larger bribes, compounding the problem for ordinary Indians.

So, once again, the question we must ask is, could demonetization have succeeded in rooting out corruption had it been better planned and implemented?

Clearly, there were some basic fundamental misconceptions at play, which is also the reason prior demonetizations in India, and elsewhere in the world, have had no effect in reducing corruption.

The first is the widely held misbelief that corruption only involves cash. In fact, only a small percentage of corruption takes place in cash and, that too is very 'local'. Really large-scale corruption takes place in the granting of favours (for example a corrupt crony organization could sponsor the education of bureaucrats' children abroad, in lieu of a lucrative mining contract) or as offshore payments, and these by their very nature are untouched by demonetization. Moreover, even those who demand and accept bribes in cash at a local level will undoubtedly convert these into various black assets such as property or gold swiftly, which, once again, are not affected by a currency demonetization.

The second, even more fundamental, reason is that a demonetization does nothing to tackle the root causes of corruption. Professor Pulapre Balakrishnan of Ashoka University, Haryana and Senior Fellow-elect at the Indian Institute of Management, Kozhikode, explains this well:

> This demonetization is not likely to impact the structure, level, and incidence of corruption in India. Often the proceeds of corrupt bureaucrats and politicians never arrive in India; they are handled offshore. They will now be only too happy to have ₹2,000 notes at their disposal.
>
> If the Modi government is serious about ending corruption, it must lay out a plan for ending the generation of black money in the interaction of the citizen with the government machinery, including the income tax department itself. *In order to target unaccounted income, it is necessary to re-engineer the manner in which the*